Tennessee (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published 23 Oct 2026 (SWC "Monthly Sports Gaming Report: September 2026"; trade coverage 23–28 Oct 2026) · Currency USD (market reports in USD; tables in $ millions unless stated)

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THE ONE-LINE VERDICT

Tennessee's mobile-only sportsbook market took $591.9m of gross wagers in September 2026 (+4.7% YoY; taxable gross handle $588.6m, +4.9%) — the best month of 2026 but still short of the $598.6m booked in November 2024 — and yielded $10.88m of privilege tax under the only handle-based regime in the US (1.85% of gross handle). Growth has decelerated hard from the World Cup-inflated summer (+30–38% YoY in June/July) to mid-single digits, the licensed field has thinned to nine operators, and the regulatory story is now enforcement-led (a Sixth Circuit ruling that Tennessee's Sports Gaming Act reaches Kalshi's sports contracts, and a run of offshore cease-and-desists) rather than tax or licensing change. For an entrant, Tennessee is cheap to enter but structurally rewards scale and high-hold product; it penalises promo-heavy or low-margin models because free bets are taxed at face value.

GROSS WAGERS (SEP-26)	GROSS HANDLE – TAXABLE BASE	PRIVILEGE TAX ASSESSED	TAX REGIME	LICENSED SPORTSBOOKS	2026 YTD GROSS WAGERS (JAN–SEP)
$591.9m	**$588.6m**	**$10.88m**	**1.85% of handle**	**9**	**≈$4.37bn**
+4.7% YoY / +42.8% MoM; best month of 2026	+4.9% YoY (Sep-25 ≈$561m)	+4.9% YoY vs $10.4m	Unchanged since 1 Jul 2023; fed. 0.25% excise deductible	vs 10 at end-2025, 12 at end-2024	CY2025 full year $5.87bn (+10.8%)

1 EXECUTIVE SUMMARY

- **Single-product, mobile-only market.** Tennessee permits online sports wagering and regulated paid fantasy only — no commercial or tribal casinos, no retail sportsbooks, no iGaming; the Tennessee Education Lottery and limited charitable gaming complete the legal perimeter. Online penetration of sports betting is therefore 100% by construction. Regulator: the Tennessee Sports Wagering Council (SWC), independent since 1 Jan 2022 (Public Chapter 593) and responsible for fantasy sports since 1 Jul 2023.
- **September 2026 print: $591.9m gross wagers (+4.7% YoY vs $565.3m), gross handle $588.6m (+4.9%), privilege tax $10.88m (+4.9% vs $10.4m).** Adjustments (voids, cancellations, negative resettlements) were ≈$3.3m, 0.56% of wagers. Month-on-month, wagers jumped +42.8% as NFL and college football restarted.
- **Best month of 2026 — but the peak has plateaued.** September's $591.9m remains below the $598.6m of gross wagers recorded in November 2024 (SWC), and December 2024 was $572.7m; football-season months have sat in a ~$550–600m band for two years. The 2022–26 September CAGR of 15.1% ($336.9m → $591.9m) flatters a market whose recent organic growth is mid-single digit.
- **Sharp deceleration from a World Cup summer.** Gross handle grew +30% in June 2026 ($456.1m, World Cup opening month), +38% in July ($412.1m vs $298.0m) and +10.7% in August ($412.0m vs $372.3m) before slowing to +4.9% in September. Q3-26 gross wagers ≈$1.42bn vs ≈$1.24bn in Q3-25 (+~15%), roughly two-thirds of it tournament-driven.
- **Annual scale: CY2025 handle $5.87bn (+10.8%), tax $107.6m; FY2026 (Jul-25–Jun-26) handle ≈$6.0bn [secondary]; 2026 YTD Jan–Sep ≈$4.37bn.** That is ≈$1,100 of handle per 21+ adult per year (approx.), in line with mature US online-only states.
- **No GGR is published — and the 'hold' figures in circulation are artefacts.** Since 1 Jul 2023 the SWC reports only gross wagers, adjustments, gross handle and tax (its FAQ states payouts/AGI are no longer collected for tax purposes). Trade trackers' Tennessee 'AGI' and 'hold' (e.g. $37.9m / 9.19% for July 2026) are simply tax ÷ 20% and 1.85% ÷ 20%, not operator data. Independent GGR estimates for 2025 range from $0.62bn (Track360) to $700.2m (AGA, which applies a Tennessee hold premium); the last actual disclosures were Sept–Nov 2022 holds of 12.9%, 8.6% and 10.3% under the old 10%-minimum-hold regime.
- **Tax regime: 1.85% privilege tax on gross handle, with the 0.25% federal excise deductible (PC 450, effective 1 Jul 2023).** Gross handle = gross wagers including promotional wagers, less cancelled/voided wagers and negative resettlements — there is no promo deduction, so free bets are taxed at face value. It replaced a 20%-of-AGI tax plus a 10% minimum-hold rule (operators under 10% hold paid the shortfall or a $25,000 fine). Effective burden ≈20.6% of GGR at 9% hold, 26.4% at 7%, 14.2% at 13%. Sept-26 implied rate on gross handle: 1.85%.
- **Tax distribution is politically entrenched:** 80% to the Lottery for Education Account, 15% to local governments, 5% to the Department of Mental Health for problem-gambling services (≈$5.4m in CY2025). This makes a rate cut improbable and a rate rise a live, if unproposed, option as other states (NJ, IL, MD, LA) have raised sports-betting taxes in 2025–26.
- **Licensing: uncapped licences, no casino tether, $50,000 non-refundable application fee and a $750,000 annual fee for operators with ≥$100m gross wagers in the prior 12 months** (lower tier for smaller books — reportedly $375,000 [unverified]). PC 450 also created vendor registration and capped administrative fines at $25,000 per violation. Any suitable operator can apply directly — unusual in the US, where most states require a land-based partner.
- **Operator landscape is consolidating: 12 licensed sportsbooks at end-2024 → 10 at end-2025 (AGA) → 9 on the SWC register at 23 Sep 2026; 16 registered fantasy operators.** The SWC publishes no operator-level handle, so Tennessee market shares are n/a; national patterns imply a FanDuel/DraftKings duopoly of ~70%+ of online handle [unverified for TN].
- **Fixed-cost squeeze explains the exits.** A $750k annual fee is 8.3% of GGR for a $100m-handle book at 9% hold but 0.8% for a $1bn book; add 1.85% handle tax (20.6% of GGR) and 0.25% federal excise (2.8%), and all-in government take runs ≈26% of GGR for a $300m-handle operator versus ≈24% for a $1bn one — and 34%+ for a low-hold entrant at 7%.
- **Enforcement has become the regulator's headline activity.** The SWC reported on 9 Sep 2026 that a cease-and-desist had shut another illegal sportsbook, and on 30 Sep issued C&Ds to Sportbet and

FullStarSportsbook (announced 7 Oct), framing the eradication of illegal books as a core mission.

- **Prediction markets: on 25 Sep 2026 the Sixth Circuit held that Tennessee's sports gaming law can be applied to Kalshi's sports event contracts and vacated the district court's preliminary injunction** (the injunction stays in force until the mandate issues). This is the most important regulatory development of the period for licensed operators' channelisation; it remains subject to en banc/certiorari risk.
- **Payments are standard US rails** (debit, ACH/online banking, e-wallets, prepaid), with credit-card funding prohibited in Tennessee [statutory basis to confirm]; no mobile-money dimension; 21+ with geolocation/KYC. Tennessee levies no state income tax on winnings (Hall tax fully repealed 2021), but the federal OBBBA caps gambling-loss deductions at 90% from tax year 2026 — a headwind for high-volume bettors that could push sharp handle offshore or into prediction markets.
- **Responsible gambling and advertising rules are mid-pack, not outliers.** Statutory self-exclusion for sports wagering and fantasy (weekly licensee list transmission, monthly reporting), 5% of tax ring-fenced for treatment, TN REDLINE helpline, and advertising standards under SWC Rule 1350-01 (RG messaging, no targeting of under-21s) [detail not re-verified]. No 2026 Tennessee advertising-restriction legislation was identified.
- **Direction of travel: enforcement-led, fiscally stable, structurally closed to casino/iGaming.** No proposal to change the 1.85% rate, fee tiers or licence structure was identified in 2026; the 2027 General Assembly (convenes January) is the watch point for prediction-market, sweepstakes and any tax tinkering. Tennessee's handle tax is being showcased in-state as a stability model (September: TN tax +4.9% while New Jersey's fell 17.7% on low hold).
- **Fiscal outlook:** FY2027 Q1 (Jul–Sep 2026) privilege tax ≈$26.1m (+~14% vs $22.8m; August estimated) and CY2026E tax ≈$113–115m (+5–7%) — estimates. Absent a World Cup, 2027 handle growth should revert to +4–7% unless prediction-market enforcement or OBBBA behaviour shifts materially change channelisation.
- **Read-through for B2Tech:** Tennessee is a low-friction, low-fixed-cost licence (≈$0.8m year-1 fees) with no gatekeeper partner, but the handle tax structurally favours a scaled, high-hold, parlay-led product and penalises a promo-led land-grab (bonus handle taxed at 1.85%). A realistic challenger share of 2–5% equates to ≈$120–300m annual handle, or ≈$11–27m GGR at 9% hold (illustrative), against ≈$3.0–7.3m of tax, excise and fees. Entry only makes sense as part of a multi-state US footprint with existing content, trading and risk infrastructure.

2 MARKET SUMMARY

TENNESSEE – ONLINE SPORTS WAGERING ($M UNLESS STATED)	SEP-26	MOM	YOY	Q3-26 (JUL–SEP)	CY2025
VOLUME (ONLINE = 100%; RETAIL NOT PERMITTED)					
Gross wagers Sep-25 gross wagers $565.3m. Q3-25 comparator ≈$1.24bn (mixed gross-wagers/gross-handle bases) → +~15%, World Cup-aided. CY2025 per SWC via AGA/Covers (+10.8%).	591.9	+42.8%	+4.7%	≈1,419.5	5,870.2
Adjustments (voids, cancels, negative resettlements) Derived: gross wagers less gross handle. Mar-26 actual $3.0m (0.54% of wagers).	≈3.3	n/a	n/a	n/a	n/a
Gross handle (taxable base) Sep-25 gross handle ≈$561m (derived from SWC-reported +4.9%). Jul-26 $412.1m, Aug-26 $412.0m.	**588.6**	**+42.9%**	**+4.9%**	**≈1,412.7**	**n/a**
GGR / adjusted gross income SWC has not published payouts/AGI since 1 Jul 2023. AGA estimate implies ~11.9% hold; Track360 estimates $0.62bn (~10.6%). Illustrative Sep-26 GGR at 9–11% hold: $53–65m.	not reported	—	—	not reported	700.2 est. (AGA)
Online share of handle	100%	—	—	100%	100%
Handle per 21+ adult (approx.) Analyst approximation on ~5.4m adults aged 21+ (Census-based).	≈$110	—	—	≈$265	≈$1,100
TAX					
Tax base / rate PC 450 (2023). Federal 0.25% excise deductible from gross handle; promotional wagers included in base (no promo deduction).	1.85% of gross handle	unch.	unch.	unch.	unch. since 1 Jul 2023
Privilege tax assessed Aug-26 tax not sourced directly — estimated ≈$7.6m from $412.0m handle; Jul-26 $7.59m actual. Q3-25 (FY26 Q1) $22.8m → +~14%. CY2025 per AGA.	**10.88**	**≈+43%**	**+4.9%**	**≈26.1**	**107.6**
Implied tax / gross wagers	1.84%	—	—	≈1.84%	1.83%
GGR-equivalent tax rate (illustrative)	≈20.6% @ 9% hold	—	—	—	≈15.4% on AGA est. GGR
Distribution of tax	80% education / 15% local gov't / 5% mental health	—	—	—	same
OPERATORS & LICENSING					
Licensed sportsbook operators SWC register via iGaming Times (23 Sep 2026); year-end counts per AGA State of the States 2026. No operator-level handle published → shares n/a.	9 (23 Sep 2026)	—	vs 10 end-25	—	10 (12 at end-2024)
Registered fantasy operators	16	—	n/a	—	n/a
Application fee	$50,000 (non-refundable)	—	—	—	—
Annual licence fee Lower tier for sub-$100m operators (reportedly $375,000) [unverified]. Pre-Jul-2023: flat $50k + $700k renewal.	$750,000 (≥$100m wagers, prior 12m)	—	—	—	—
ENFORCEMENT & LEGAL					
SWC cease-and-desist actions (offshore)	3 (9 & 30 Sep)	—	—	3+	n/a
Prediction markets	6th Cir. 25 Sep: TN law applies to Kalshi sports contracts; PI vacated (effective on mandate)	—	—	—	—

3 DEEP-DIVE — ONLINE SPORTS BETTING — VOLUME, SEASONALITY AND TREND

September's $591.9m is the best month of 2026, but growth has slowed to +4.9% and peak-season handle has plateaued below the Nov-2024 high.

SEPTEMBER 2026 VOLUMES

September 2026 gross wagers of $591.9m were the best month of 2026, but YoY growth has slowed to +4.9% on the taxable base.

- $591.9m gross wagers, ≈$3.3m adjustments (0.56% of wagers), $588.6m gross handle, $10.88m privilege tax assessed.
- Versus September 2025 ($565.3m wagers, $10.4m tax): +4.7% wagers, +4.9% taxable base, +4.9% tax — levy is a flat percentage of handle.
- Month-on-month wagers rose 42.8% from August's $414.5m as NFL and SEC football resumed.
- September is typically the third- or fourth-largest month of the Tennessee year behind November, December and January.

PEAK-MONTH PLATEAU

Peak months have stopped growing: the record remains November 2024 at $598.6m, while off-peak months grow faster, pointing to product-led gains near saturation.

- September wagers rose from $336.9m (2022) to $445.2m-era levels in late 2023, $565.3m (2025) and $591.9m (2026) — a 15.1% four-year CAGR.
- Highest published month is November 2024 at $598.6m, with December 2024 at $572.7m.
- March 2026 wagers of $562.6m were +18.8% on March 2024 ($473.6m) — off-peak growing faster than the football peak.
- Consistent with same-game parlays, in-play and basketball/baseball depth rather than new-bettor adoption, near saturation in a state of ~5.4m adults.

SUMMER 2026 DISTORTION

Summer 2026 was World Cup-inflated; Q3-26 wagers of ≈$1.42bn (+~15%) overstate an underlying mid-to-high single-digit run-rate.

- June gross handle $456.1m (+30% YoY, FIFA World Cup opening month on US soil).
- July ≈$412.1m (+38% against $298.0m); August $412.0m (+10.7% against $372.3m); September +4.9%.
- Q3-26 gross wagers ≈$1.42bn versus ≈$1.24bn in Q3-25 (+~15%).
- Stripping out the July–August tournament tail, September is the most reliable clean football-only read of trend.

NO GGR DISCLOSURE

Tennessee reports no GGR, payouts or hold since the 1 Jul 2023 handle-tax switch; trade-tracker 'hold' figures are tax ÷ 20% and unusable.

- Tracker 'GGR'/'hold' for Tennessee gives an invariant ~9.2% 'hold' every month and must not be used for margin benchmarking.
- Last genuine disclosures: September–November 2022, hold 12.9%, 8.6%, 10.3% on $336.9m, $405.3m and $439.5m of wagers under the old 10% minimum-hold regime.
- AGA estimates 2025 GGR at $700.2m (+22%), implying ~11.9% hold; Track360 puts it at $0.62bn (~10.6%).
- On $588.6m September handle, GGR at 9–11% hold would be $53–65m — an estimate, not a reported figure.

CHANNEL MIX

Handle is 100% mobile/online with no retail books, kiosks or casinos, so there is no retail-to-online migration tailwind or land-based cross-sell.

- Handle per 21+ adult is ≈$110 for September and ≈$1,100 for CY2025 (approx.).
- Comparable to mature online-first states, supporting the saturation reading.

ENTRANT IMPLICATION

Tennessee is a share-capture market, not an expansion market; assume +4–7% underlying handle growth with episodic event spikes.

- Incremental volume should come from channelisation (offshore books and prediction markets pushed out) rather than first-time bettors.
- Product depth in parlays and in-play — the drivers of off-peak growth — is where share is contested.

SWC MONTHLY SERIES ($M)	GROSS WAGERS	ADJUSTMENTS	GROSS HANDLE	PRIVILEGE TAX	HANDLE YOY
Sep-26	**591.9**	**≈3.3**	**588.6**	**10.88**	**+4.9%**
Aug-26	414.5	≈2.5	412.0	≈7.6 (est.)	+10.7%
Jul-26 Sources differ by ~$1m on July handle (412.1 vs 413.1); 412.1 reconciles to the reported tax.	413.1	≈1.0	412.1	7.59	+38%
Jun-26 (World Cup opening month)	n/a	n/a	456.1	8.44	+30%
Mar-26	562.6	3.0	559.6	10.35	n/a
Sep-25	565.3	n/a	≈561 (derived)	10.4	n/a
Aug-25	n/a	n/a	372.3	6.89	n/a
Jul-25	n/a	n/a	298.0	5.51	n/a
Nov-24 (record month)	598.6	4.2	594.4	n/a	n/a
Dec-24	572.7	2.9	569.8	n/a	n/a
Aug-24	344.4	2.4	342.0	6.31	n/a
Oct-23	445.2	1.4	443.8	8.19	n/a
Sep-22 (old regime: 20% AGI tax)	336.9	2.7	AGI 43.6 (hold 12.9%)	n/a	n/a
CY2025	**5,870.2**	**n/a**	**n/a**	**107.6**	**+10.8%**
2026 YTD Jan–Sep Jan–Aug $3,778.8m (Covers, from SWC) + Sep $591.9m; tax derived at 1.845%.	**≈4,370.7**	**n/a**	**n/a**	**≈80.6 (derived)**	**n/a**

4 DEEP-DIVE — TAX REGIME AND THE STATE'S FISCAL TAKE

A flat 1.85% of handle (≈20.6% of GGR at 9% hold) that shifts all hold risk to operators, taxes promotional wagers at face value, and has been stable since July 2023.

TAX STRUCTURE

PC 450 (2023), effective 1 Jul 2023, replaced a 20% AGI tax with a flat 1.85% privilege tax on gross handle, stable since.

- Fiscal Review Committee memorandum records the bill proposed 2% and was enacted at 1.85%; licensees may deduct federal excise tax paid (0.25% of wagers).
- Gross handle is gross wagers — including promotional or free-bet wagers — less cancelled and voided wagers and negative resettlements.
- September 2026's $10.88m on $588.6m is 1.85% of gross handle, consistent with the formula.

PREVIOUS REGIME

The old 10% minimum-hold regime was 'mathematically equivalent' to about 2% of handle, so 1.85% was broadly revenue-neutral for the state.

- Operators with monthly hold below 10% paid tax as if at 10% or a $25,000 penalty.
- Switch removed the hold floor and the burden of auditing payouts.
- Comptroller's May 2024 performance audit confirmed privilege-tax funds must be held in a segregated account pending monthly transfer.

> *"mathematically equivalent"* — **SWC FAQ**

FISCAL RECEIPTS

Collections are growing steadily: CY2025 $107.6m on $5.87bn handle, and FY2027 Q1 ≈$26.1m (+~14%).

- CY2025 collections were 1.83% of wagers; FY2026 Q1 (Jul–Sep 2025) was $22.8m versus $21.0m a year earlier.
- FY2027 Q1 (Jul–Sep 2026) ≈$26.1m: $7.59m July, ≈$7.6m August (estimated), $10.88m September.
- Proceeds split 80% Lottery for Education Account, 15% local governments, 5% Department of Mental Health and Substance Abuse Services.
- In-state commentary contrasts Tennessee's +4.9% September tax with New Jersey's −17.7% on a low-hold month, entrenching the handle tax politically.

OPERATOR INCIDENCE

The hold-agnostic tax equals 20.6% of GGR at 9% hold, penalises promotions and low-margin pricing, and is hostile to challengers.

- GGR-equivalent rate: 26.4% at 7% hold, 20.6% at 9%, 16.8% at 11%, 14.2% at 13%.
- Add 0.25% federal excise (2.8% of GGR at 9% hold) and $750,000 annual fee (2.8% of GGR on $300m handle; 8.3% on $100m).
- All-in government take ≈26% of GGR for a $300m-handle book, ≈24% for $1bn, ≈34% for a low-hold $300m entrant.
- No promo deduction: a $100 free bet costs $1.85 of tax before any customer value, unlike Michigan, Pennsylvania or Colorado.
- Sharp-friendly, low-margin pricing is penalised rather than rewarded.

PEER CONTEXT

At ~20% of GGR-equivalent Tennessee sits between New Jersey/Ohio (~20%) and Pennsylvania/New York (36%/51%), with a 2.0% rate a non-trivial tail risk.

- Rate has not moved while New Jersey, Illinois, Maryland and Louisiana raised rates in 2025–26.
- A hypothetical 2.0% of handle — originally tabled in 2023 — would add ≈$9m a year at current volumes.
- No such proposal identified in 2026, but national direction makes it a tail risk for 2027 budget season.

MODELLING GUIDANCE

Model 1.85% of gross handle + 0.25% of wagers (federal) + $0.75m fixed, with promotional handle fully taxable.

- For a 9%-hold product this is ≈23.4% of GGR before the fee; for a 12%-hold parlay-led product ≈17.5%.
- The structural advantage of the national leaders' product mix is amplified by the tax base.

ILLUSTRATIVE EFFECTIVE BURDEN BY HOLD (TENNESSEE)	HOLD 7%	HOLD 9%	HOLD 11%	HOLD 13%
Privilege tax 1.85% of handle, as % of GGR	**26.4%**	**20.6%**	**16.8%**	**14.2%**
Federal excise 0.25% of wagers, as % of GGR	3.6%	2.8%	2.3%	1.9%
Annual fee $750k, $300m-handle operator, % of GGR	3.6%	2.8%	2.3%	1.9%
Annual fee $750k, $100m-handle operator, % of GGR	10.7%	8.3%	6.8%	5.8%
All-in govt take, $300m-handle operator	**33.6%**	**26.1%**	**21.4%**	**18.1%**
All-in govt take, $1bn-handle operator	31.1%	24.2%	19.8%	16.7%
Sep-26 GGR on $588.6m handle (illustrative, $m) [Tennessee does not report GGR; rows are arithmetic illustrations, not market data.]	41.2	53.0	64.7	76.5
Sep-26 tax $10.88m as % of illustrative GGR	26.4%	20.5%	16.8%	14.2%

5 DEEP-DIVE — LICENSING, OPERATOR LANDSCAPE AND THE WIDER GAMBLING PERIMETER

Uncapped, untethered licences at $50k + $750k a year — cheap to enter, but a shrinking field (12 → 10 → 9) shows sub-scale economics do not work under a handle tax.

LEGAL FRAMEWORK

The 2019 Sports Gaming Act made Tennessee the first US state to legalise sports betting with no pre-existing casino industry; live since 1 Nov 2020.

- PC 593 created the independent Sports Wagering Council from 1 Jan 2022; PC 450 (2023) rewrote tax and fees; Fantasy Sports Act transferred to SWC 1 Jul 2023.
- Operating rules sit in Chapter 1350-01; the monthly report, published around the third week of the following month, is the only official statistic.
- From June 2026 files carry a '(UA)' suffix, read as unaudited/subject to revision [interpretation].

LICENCE ECONOMICS

Licences are uncapped and untethered — no land-based partner needed — at a $50,000 application fee plus $750,000 a year for larger operators.

- No cap on operator licences; no casinos or racetracks means no market-access partner, which elsewhere costs a revenue share or seven-figure fee.
- Annual fee $750,000 for ≥$100m gross wagers in preceding 12 months; lower tier for smaller operators (reportedly $375,000) [unverified].
- Before July 2023 every operator paid a flat $750,000 ($50k + $700k renewal).
- PC 450 introduced vendor registration; key-personnel licensing continues; administrative fines capped at $25,000 per violation.

OPERATOR CONSOLIDATION

The field has shrunk from 12 (end-2024) to 10 (end-2025) to 9 (23 Sep 2026), as sub-scale economics fail under a handle tax.

- SWC publishes no operator-level handle or tax, so Tennessee shares cannot be verified.
- National data suggest FanDuel and DraftKings hold ~70%+ of US online handle; BetMGM, Caesars, Fanatics, bet365 and Hard Rock Bet form the next tier [unverified for TN].
- Exits came from regional and start-up brands for whom a $750k fee plus margin-blind tax pushed government take above 30% of GGR.

COMPLIANCE ARCHITECTURE

Requirements per Rule 1350-01 and the Comptroller's audit are standard: monthly tax transfer and reporting, segregated accounts, self-exclusion reporting, official league data for in-play.

- Monthly privilege-tax transfer and report of gross wagers, deductions and gross handle by the fifth business day.
- Weekly transmission of licensee-specific self-exclusion list and a monthly self-exclusion report; key-personnel suitability.
- Tennessee was first state to mandate official league data for Tier 2 in-play wagers [current rule wording to confirm].
- Minimum age 21; geolocation/KYC standard.

WIDER PERIMETER

The gambling perimeter is narrow and likely to stay so: no casinos, retail sportsbooks or iGaming, with casino gambling requiring constitutional change.

- Only other legal verticals are the Tennessee Education Lottery and limited charitable gaming.
- 16 fantasy operators (DFS and pick'em) are registered with the SWC.
- Prediction markets are the contested frontier.

B2TECH ENTRY MATHS

Year-one government fees ≈$0.8m with no partner tax, but a challenger needs ≥$100–150m annual handle quickly to keep fixed costs under 10% of GGR.

- Nine-operator field with an exiting tail, but a tax base that makes bonus-led acquisition expensive.
- Target share from the exiting tail and channelised offshore/prediction-market volume rather than from the duopoly.

LICENSING REGIME AND OPERATOR COUNTS	VALUE	BASIS / SOURCE
Application fee (sports gaming operator)	$50,000, non-refundable	TCA Title 4 Ch. 49; Comptroller audit 2024
Annual licence fee, ≥$100m gross wagers (prior 12m)	**$750,000**	**PC 450; Fiscal Memorandum FM1360**
Annual licence fee, <$100m gross wagers	reportedly $375,000 [unverified]	PC 450 tiering
Pre-Jul-2023 fee	$50,000 + $700,000 renewal (flat)	Comptroller audit 2024
Licence cap / market-access tether	None / none (no casinos)	Act; AGA
Administrative fine cap	$25,000 per violation	PC 450
Licensed sportsbooks – 23 Sep 2026	**9**	**SWC register (via iGaming Times)**
Licensed sportsbooks – end-2025 / end-2024	10 / 12	AGA State of the States 2026
Registered fantasy operators	16	SWC register (23 Sep 2026)
Minimum age	21	Act
Retail / casino / iGaming	Not permitted	Act; state constitution
Regulator	SWC – independent since 1 Jan 2022 (PC 593); fantasy since 1 Jul 2023	SWC

6 DEEP-DIVE — ENFORCEMENT, PREDICTION MARKETS AND POLITICAL DIRECTION

The regulator's energy is on channelisation: a Sixth Circuit win over Kalshi's sports contracts and three offshore cease-and-desists in September alone; no tax or licensing change is on the table.

OFFSHORE ENFORCEMENT

September 2026 was the SWC's most active public enforcement month on record, with three offshore cease-and-desists.

- 9 Sep: a C&D demand forced another unlicensed sportsbook to stop serving Tennessee.
- 30 Sep: C&Ds issued to Sportbet and FullStarSportsbook (announced 7 Oct).
- Stated mission now explicitly includes eradicating illegal sportsbooks and their ecosystem — payment processors, affiliates, advertisers — where pressure is likely to fall next.

PREDICTION MARKETS

The Sixth Circuit's 25 Sep 2026 ruling against Kalshi's sports contracts is the single most material development of the period for licensed operators.

- Court held Tennessee's sports gaming law applies to Kalshi's sports event contracts and vacated the preliminary injunction; it remains in force only until the mandate issues.
- Absent en banc rehearing or a Supreme Court stay, the SWC gains a clear path against Kalshi and, by extension, Robinhood, Crypto.com and other CFTC-registered venues.
- Sports contracts carry no state tax, no $750k fee and no 21+ or RG regime, and were the fastest-growing untaxed competitor through 2025–26.

FISCAL POLITICS

The 1.85% rate is stable with no 2026 bill identified, but national tax rises give future budget-writers a template.

- Handle tax promoted in-state as a model of revenue predictability; 80% of proceeds flow to education.
- Tax increases in Illinois, New Jersey, Maryland and Louisiana provide a template; a 2% rate was already on the table in 2023.
- Because the tax is on handle, any stall in volume shows straight through to receipts.

TRANSPARENCY WEAKNESSES

Tennessee's disclosure is thinner than most US states, forcing reliance on national proxies to benchmark margins.

- No GGR, operator-level data, promotional spend, or breakdown by sport or bet type.
- Comptroller's 2024 audit covered the tax transition and controls, not market transparency.
- June–September 2026 reports carry an unexplained '(UA)' label.

POLITICAL CALENDAR

The 2027 General Assembly (January) is the venue to watch for prediction-market, sweepstakes-casino, advertising or fee/rate bills.

- Follows the November 2026 gubernatorial election and January 2027 governor's transition [election outcome not verified here].
- Tennessee remains structurally closed to casino and iGaming expansion.

NET ASSESSMENT

Regulatory risk is low-to-moderate and asymmetric: probability-weighted downside is a modest tax increase, while enforcement is a tangible 2027 tailwind.

- Downside is a tax increase, not a product or licensing restriction.
- Offshore and prediction-market enforcement should channel handle into licensed books in 2027.

ENFORCEMENT AND LEGAL TIMELINE	DATE	ACTION / OUTCOME	IMPLICATION FOR LICENSED OPERATORS
Sixth Circuit – Kalshi v. Tennessee	**25 Sep 2026**	**TN Sports Gaming Act applies to Kalshi sports event contracts; preliminary injunction vacated (in force until mandate)**	**Opens state enforcement vs prediction markets; channelisation upside**
SWC cease-and-desist – unlicensed sportsbook shut	9 Sep 2026	Offshore book ceased Tennessee operations after C&D	Channelisation
SWC cease-and-desists – Sportbet, FullStarSportsbook	30 Sep 2026 (announced 7 Oct)	Demands to shutter Tennessee operations	Channelisation; ecosystem (payments/affiliates) next
Federal OBBBA – gambling loss deduction	Tax year 2026	Loss deduction capped at 90% of losses	Headwind for high-volume bettors; leakage risk
Comptroller performance audit of SWC	May 2024	Reviewed tax-regime transition, segregated tax accounts, fees	Governance baseline
PC 450 – tax and fee overhaul	1 Jul 2023	20% AGI → 1.85% handle; 10% hold floor removed; fee tiers; vendor registration; $25k fine cap	Current regime
PC 593 – independent regulator	1 Jan 2022	SWC replaces Lottery's Sports Wagering Advisory Council	Institutional stability
Market launch	1 Nov 2020	Mobile-only launch under 2019 Sports Gaming Act	—

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING AND ADVERTISING

Standard US rails with a credit-card ban, a mid-pack RG regime funded by 5% of tax, and player-level headwinds that are federal (OBBBA) rather than Tennessee-specific.

PAYMENTS

Standard US payment rails with a credit-card funding ban; processing costs are industry-normal 1.5–3% of deposits.

- Deposits via debit cards, ACH/online banking, PayPal/Venmo-type wallets and prepaid cards; withdrawals via ACH and wallet.
- Credit-card ban shared with a handful of states (Iowa, Massachusetts) [statutory/rule basis to confirm].
- No mobile-money dimension and no cash-at-retail network comparable to casino-state cages (third-party cash-voucher services not verified).
- Credit ban trims deposit conversion slightly but lowers chargeback and AML exposure.

RESPONSIBLE GAMBLING

A mid-pack statutory RG regime funded by 5% of privilege tax (≈$5.4m in CY2025, ≈$0.54m in September 2026).

- Statewide self-exclusion covers sports wagering and, since 2023, fantasy sports; weekly list transmission and monthly report (Rule 1350-01-.07).
- Funds ring-fenced for Department of Mental Health and Substance Abuse Services problem-gambling programmes; TN REDLINE is the mandated referral point.
- Deposit, wager and time limits and cooling-off tools are standard across licensees.

ADVERTISING

Advertising is governed by Rule 1350-01 content standards rather than volume or time-of-day restrictions; no 2026 state legislation identified.

- Standards: responsible-gambling messaging, no targeting under-21s, no misleading inducement language [rule detail not re-verified].
- Swing factor is federal (periodic SAFE Bet Act-style proposals) rather than state.

PLAYER TAXATION

Tennessee has no personal income tax on winnings, but the federal OBBBA caps gambling-loss deductions at 90% from tax year 2026.

- Hall tax fully repealed from 2021 — a mild positive versus high-income-tax states.
- A break-even high-volume bettor incurs a tax bill on phantom income.
- Risk that sharp and high-frequency handle migrates offshore or to prediction markets — the leakage the SWC push and Sixth Circuit ruling aim to close.

COMMERCIAL IMPLICATION

Tennessee's RG and payments rules are not a cost outlier; compliance lift for a multi-state operator is incremental.

- No special product constraints beyond the credit ban.
- 2026–27 shifts in player economics are federal; model as a modest drag on high-value-segment handle, not a Tennessee-specific risk.

PAYMENTS AND RESPONSIBLE-GAMBLING RULES	STATUS	SOURCE
Minimum age	21	Sports Gaming Act
Credit-card deposits	**Prohibited [basis to confirm]**	**Act / Rule 1350-01**
Accepted deposit methods	Debit, ACH/online banking, e-wallets, prepaid	Operator T&Cs (industry standard)
Self-exclusion	Statewide SWC programme (sports + fantasy); weekly licensee list transmission, monthly report	Rule 1350-01-.07; SWC
Problem-gambling funding	5% of privilege tax (≈$5.4m CY2025; ≈$0.54m Sep-26)	Act; AGA
State income tax on winnings	None (Hall tax repealed 2021)	TN Dept of Revenue
Federal loss-deduction cap	90% of losses from TY2026	OBBBA (2025)
Advertising standards	Rule 1350-01 – RG messaging, no under-21 targeting [detail unverified]	SWC rules
Official league data for in-play wagers	Required under 2019 Act [current wording to confirm]	Sports Gaming Act

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Scale with a stable, predictable government take: $5.87bn of handle in 2025 (+10.8%) and ≈$4.37bn Jan–Sep 2026; the 1.85% handle tax has been unchanged since July 2023 while NJ, IL, MD and LA raised rates — Tennessee's fiscal model is being showcased in-state, lowering near-term rate-hike risk. structural
- Open, untethered licensing: no cap on licences and no casino market-access partner required (none exist), so entry costs are ≈$0.8m of fees in year one with no revenue-share to a land-based gatekeeper — rare in the US. structural
- A thinning field creates share to capture: 12 operators at end-2024 → 10 at end-2025 → 9 in Sept 2026; the exiting tail's handle is up for grabs by a well-capitalised challenger without the market having to grow. structural
- Enforcement tailwind for licensed books: the Sixth Circuit's 25 Sep 2026 ruling that Tennessee's law reaches Kalshi's sports contracts (PI vacated pending mandate) plus three offshore cease-and-desists in September point to meaningful channelisation of untaxed volume back to licensees in 2027. early
- Handle-based tax rewards high-hold product: a parlay/SGP-led book at 12% hold pays ≈15.4% of GGR in state tax versus ≈26.4% for a 7%-hold book — a structural edge for operators with strong parlay pricing and risk management. structural
- 100% digital market with mature per-capita engagement (≈$1,100 handle per 21+ adult per year): no retail capex, no cannibalisation debates, and off-peak months (March 2026 +18.8% vs March 2024) still growing on product depth. structural

▼ LOWLIGHTS

- The handle tax penalises entrants: promotional wagers are taxed at face value (no promo deduction), so a bonus-led acquisition campaign carries a 1.85% levy on every free-bet dollar before any customer value is earned; low-margin or sharp-friendly pricing is punished rather than rewarded. structural
- Growth has decelerated to mid-single digits: +4.9% in September after World Cup-inflated +30–38% in June/July, and peak-season handle has plateaued below the $598.6m of Nov-2024 for two years — this is a share-capture market, not an expansion market. mixed
- Opaque market data: the SWC publishes no GGR, no hold, no operator-level handle and no promo spend; trade-tracker 'hold' figures (~9.2%) are tax ÷ 20% artefacts. An entrant cannot benchmark margins or size the duopoly's share from official data. governance
- Fixed-cost burden favours incumbents: the $750k annual fee is 8.3% of GGR for a $100m-handle book at 9% hold vs 0.8% for a $1bn book; all-in government take exceeds 30% of GGR for a sub-scale, low-hold entrant — the exact profile that has been exiting. structural
- Prediction-market competition is not yet closed off: Kalshi's injunction stays in force until the Sixth Circuit mandate issues, with en banc/certiorari risk and an unresolved federal CFTC pre-emption question; untaxed sports contracts keep siphoning volume in the interim. watch
- Federal OBBBA caps gambling-loss deductions at 90% from tax year 2026, creating phantom taxable income for high-volume bettors — a leakage risk to offshore books and prediction markets concentrated in the highest-value segment. early
- Tax-rate tail risk in the 2027 session: a 2% rate was already tabled in 2023, 80% of proceeds fund education, and the national direction is upward; a move to 2% would add ≈$9m a year to the state and ≈8% to operators' state-tax bill. watch

9 FORECAST & OUTLOOK

Guidance bridge. Nothing in the rulebook changed in September 2026 — the 1.85% handle tax, $50k/$750k fee structure and nine-operator field are as they were — but two things moved that matter more: the Sixth Circuit's 25 Sep ruling against Kalshi's sports contracts and the SWC's escalating offshore cease-and-desist campaign, both of which push untaxed volume back toward licensed books once the mandate issues. On the numbers, the tax take bridge from CY2025 to CY2026 is volume-driven: $107.6m in 2025 rises on ≈$4.37bn of Jan–Sep wagers (≈$80.6m assessed, derived) plus an estimated ≈$33m for Q4-26 on ~$1.8bn of handle (+~5% YoY), giving ≈$113–115m (+5–7%). Roughly $2.5m of the uplift is World Cup (June–July) and will not recur in 2027; the rest is underlying mid-single-digit growth.

CY2025 PRIVILEGE TAX (ACTUAL)	JAN–SEP 2026 ASSESSED (DERIVED)	Q4-26E (OCT–DEC)	CY2026E PRIVILEGE TAX
$107.6m	**≈$80.6m**	**≈$33m (est.)**	**≈$113–115m (est.)**
on $5.87bn handle (+10.8%)	≈$4.37bn gross wagers; Sep $10.88m, Q3 ≈$26.1m (+~14%)	assumes ~$1.8bn handle, +~5% YoY vs Q4-25	+5–7% YoY; ≈$2.5m World Cup non-recurring

Independent view. Handle: +4–7% in 2027 (estimate), with downside in June–July as World Cup comparatives roll off and upside of 2–4 points if the Kalshi mandate issues and the SWC enforces against prediction-market sports contracts in H1 2027. We expect November 2026 to test the $598.6m Nov-2024 record for the first time; failure to clear it would confirm peak-season saturation. **Margin: unobservable from official data — model 9–11% hold with the tax at 1.85% of handle (≈17–21% of GGR) plus 0.25% federal excise and $0.75m fixed; all-in ≈24–27% of GGR for a $300m–$1bn book. Rules: the base case (≈70%) is no change to rate, fees or licensing in the 2027 session; the main tail risk (≈20–25%) is a rate increase toward 2.0% framed as education funding, worth ≈$9m a year; the probability of casino or iGaming legalisation is negligible. Operator count: more likely to fall to 8 than rise to 10 in the next 12 months absent a new national entrant; the SWC's register, not handle growth, is the best leading indicator of competitive intensity. State fiscal take: FY2027 (Jul-26–Jun-27) privilege tax ≈$112–116m (estimate), +3–5% on FY2026's ≈$111m-equivalent, with Q1 already +~14%.**

What to watch next quarter:

- Issuance of the Sixth Circuit mandate in Kalshi v. Tennessee and any en banc or Supreme Court stay petition; first SWC enforcement step against Kalshi/Robinhood/Crypto.com sports contracts thereafter.
- October–December 2026 SWC monthly reports: whether YoY handle growth holds ≥5% through the NFL season and whether November clears the $598.6m Nov-2024 record.
- 2027 General Assembly (from January): any bill touching the 1.85% privilege tax, fee tiers, prediction markets, sweepstakes casinos or advertising; and the post-election governor's first budget.
- SWC operator register: further exits below nine, or a new national entrant; any change to the '(UA)' labelling or resumption of GGR/operator-level disclosure.
- Offshore enforcement escalation toward payment processors, affiliates and advertisers supporting unlicensed books, following the September C&Ds.
- Early-2027 behavioural evidence of OBBBA's 90% loss-deduction cap on high-volume handle (Q1-27 YoY in the sharp-heavy March basketball window).

DATA CONFIDENCE: MEDIUM MEDIUM. The September 2026 headline figures (gross wagers $591.9m; gross handle $588.6m, +4.9% YoY; privilege tax $10.88m) are the SWC's own, but were taken from three independent trade reports of the SWC release (Gaming Intelligence, BettingNews, LegalSportsBetting — mutually consistent) because the SWC PDF, although located on the regulator's reports page, could not be opened within this session; the SWC's March 2026 and 2022–24 monthly PDFs, FAQ, newsroom releases, the Comptroller's 2024 audit and the General Assembly fiscal memorandum were read directly. The nine-operator count is from a secondary regulatory profile citing the SWC register on 23 Sep 2026; August 2026 tax (≈$7.6m) and Sept 2025 gross handle (≈$561m) are derived, as are all Q3 and YTD aggregates. Tennessee does NOT report GGR or hold — every GGR/hold figure here is labelled an estimate, and trade-tracker 'hold' figures of ~9.2% are tax ÷ 20% artefacts. Items marked [unverified]/[to confirm] (lower licence-fee tier, credit-card deposit ban, official-league-data wording, advertising-rule detail, November 2026 election outcome) rest on the analyst's regulatory knowledge and should be checked against TCA Title 4, Ch. 49 and SWC Rule 1350-01. Reporting currency is USD — no FX conversion required.

Sources: [Primary] Tennessee Sports Wagering Council – Monthly Sports Gaming Reports index (lists Sept 2026 report, '(UA)' files Jun–Sep 2026); [Primary] SWC – Monthly Sports Gaming Report: September 2026 (PDF; located, figures corroborated via trade coverage); [Primary] SWC – Monthly Sports Gaming Report: March 2026 (gross wagers $562.6m, gross handle $559.6m, tax $10.35m); [Primary] SWC – Monthly Report November 2024 ($598.6m gross wagers, record month); [Primary] SWC – Monthly Report December 2024 / October 2024 / August 2024 (historical series); [Primary] SWC – Monthly Sports Gaming Report: October 2023; [Primary] SWAC – Monthly Sports Gaming Report: September 2022 (last regime with payouts/AGI; hold 12.9%); [Primary] SWC – FAQs (why payouts/AGI are no longer reported; old regime ≈2% of handle); [Primary] SWC – Newsroom; [Primary] SWC – 'SWC Demands Illegal Sportsbooks Sportbet and FullStarSportsbook to Cease Operations in Tennessee' (C&Ds 30 Sep 2026; released 7 Oct 2026); [Primary] SWC – 'Cease-and-Desist Action Shuts Down Another Illegal Sportsbook in TN' (Sept 2026); [Primary] Tennessee Comptroller – Performance Audit Report, Sports Wagering Council (May 2024): PC 450 tax change, fees, segregated tax accounts; [Primary] Tennessee General Assembly Fiscal Review Committee – Fiscal Memorandum FM1360 (1.85% handle tax; federal excise deduction; $750,000 fee tier); [Secondary] American Gaming Association – State of the States 2026: Tennessee (2025 handle $5.87bn, tax $107.6m, est. GGR $700.2m, operator counts); [Secondary] Gaming Intelligence – 'Tennessee sports handle grows to $591.9 million in September' (27 Oct 2026) – lead article; [Secondary] BettingNews – 'Tennessee Sports Betting Handle Hits $588.6M in September' (28 Oct 2026); [Secondary] LegalSportsBetting – 'Tennessee's Handle Tax Proving Its Worth In September' (23 Oct 2026); [Secondary] LegalSportsBetting – 'Tennessee Sports Betting Tax Rises 30% On World Cup' (June 2026 data); [Secondary] Gaming Intelligence – 'Tennessee sports handle grows by 10% in August' (18 Sep 2026); [Secondary] Gaming Intelligence – 'Tennessee sports handle surges by 35% in July' (17 Aug 2026); [Secondary] 5Star Media – 'Tennessee sports wagers surge 35% in July' (July 2026 handle $412.1m, tax $7,588,636); [Secondary] Focus Gaming News – 'Tennessee sports betting handle tops $413m in July' (note: 'AGI/hold' figures are tax÷20% artefacts); [Secondary] iGaming Times – Tennessee regulation profile (9 sportsbook / 16 fantasy operators on SWC register 23 Sep 2026; Sixth Circuit Kalshi ruling 25 Sep 2026; fee and rule references); [Secondary] InGame – 'Indiana And Tennessee Both Top $500 Million Handle For September' (Sept 2025: $565.3m, $10.4m tax; FY26 Q1 $22.8m); [Secondary] Covers – Tennessee betting revenue tracker (2025 handle $5,870,232,160; 2026 Jan–Aug $3,778.8m); [Secondary] BetTennessee – revenue report (Jul-25 $298.0m/$5.51m; Aug-25 $372.3m/$6.89m); [Secondary] rg.org – Tennessee statistics (Aug-26 handle $412.0m +10.7%; 80/15/5 tax distribution; GGR/hold figures are artefacts); [Secondary] Yahoo Sports / Sports Handle – 'Tennessee Sports Betting Looks A Lot Different After Five Years' (10% hold cap removal, regulator change); [Secondary] BettingUSA – Sports betting tax rates & licensing fees by state (Tennessee 1.85% of handle); [Secondary] TurboTax blog – OBBBA limits on gambling-loss deductions from 2026; [Secondary] Upper Cumberland Business Journal – 'Wagering Council Orders Illegal Sportsbooks to Cease TN Operations'.

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